

Company Accounts - Unit II

Final Accounts of Companies, Managerial Remuneration & Disposal of Profit

Unit 2 | Notes with one solved question per topic | All amounts in Rs.

Roadmap (about 90 minutes)

Topic	Time	What we must walk away with
1. Format of final accounts (Schedule III)	20 min	Vertical Balance Sheet and Statement of P&L; where each item goes
2. Adjustments & preparing final accounts	25 min	Each adjustment is posted twice (P&L + Balance Sheet)
3. Managerial remuneration (Sec 197/198)	25 min	Net profit under Sec 198, then % limits
4. Disposal of profit (reserves, dividend)	20 min	What can/cannot be used for dividend; Appropriation entries

1. Format of final accounts - Schedule III, Companies Act 2013

- Companies must prepare final accounts in **vertical format** only (no T-format) under **Schedule III**.
- Two statements: **Balance Sheet** (Part I) and **Statement of Profit & Loss** (Part II).
- Each major item points to a numbered **Note** (Note 1, Note 2...) giving the details.

BALANCE SHEET (as at ...)	STATEMENT OF PROFIT & LOSS (for the year ended ...)
I. EQUITY AND LIABILITIES 1. Shareholders' funds: (a) Share capital (b) Reserves & surplus 2. Share application money pending allotment 3. Non-current liabilities: long-term borrowings (debentures, term loans), deferred tax liability, long-term provisions 4. Current liabilities: short-term borrowings, trade payables, other current liabilities, short-term provisions (tax, proposed dividend*)	I. Revenue from operations (sales etc.) II. Other income (interest, dividend received) III. Total revenue (I + II) IV. Expenses: Cost of materials consumed / Purchases of stock-in-trade Changes in inventories (opening - closing stock) Employee benefit expense Finance costs (interest) Depreciation & amortisation Other expenses
II. ASSETS 1. Non-current assets: property, plant & equipment, intangible assets, non-current investments, long-term loans & advances 2. Current assets: current investments, inventories, trade receivables, cash & cash equivalents, short-term loans & advances, other current assets	V. Profit before tax (III - IV) VI. Tax expense (current + deferred) VII. Profit after tax (V - VI), carried to Reserves & Surplus VIII. Earnings per share (EPS)

Key points

- **Reserves & surplus** includes Capital Reserve, Securities Premium, General Reserve, Capital Redemption Reserve, Debenture Redemption Reserve and the **surplus (balance in Statement of P&L)**.
- **Non-current** = long term (more than 12 months). **Current** = within 12 months.
- Calls in arrear are **deducted** from Share Capital; Preliminary expenses are written off (not shown as an asset under current rules).
- *Proposed dividend: under AS-4 it is **not a liability** until declared (disclosed in notes). Many textbook questions still show it as a provision, so follow your textbook.

Other points to remember

- A complete set of financial statements = Balance Sheet + Statement of P&L + Cash Flow Statement + Statement of changes in equity (where applicable) + Notes.
- Sec 129: statements must give a **true and fair view**, follow Schedule III and the accounting standards. They are signed by the Board (including CEO/CFO/Company Secretary where applicable) and the **auditor's report** is attached.
- Schedule III: **previous year's figures** are shown alongside the current year's; figures may be rounded off (hundreds, thousands, lakhs, crores) depending on turnover.
- **Contingent liabilities** (e.g. a pending court case) are **not provided** in accounts; they are only disclosed in the Notes.

2. Adjustments and preparing final accounts

Golden rule: every adjustment affects **two places** - one in the Statement of P&L and one in the Balance Sheet. If we post it only once, our balance sheet won't tally.

Adjustment	Statement of P&L	Balance Sheet
Closing stock	Deduct in "Changes in inventories"	Current asset - Inventories
Outstanding expense	Add to that expense	Current liability - Other current liabilities
Prepaid expense	Deduct from that expense	Current asset - Other current assets
Accrued income	Add to income	Current asset
Income received in advance	Deduct from income	Current liability
Depreciation	Show as expense	Deduct from asset (show at book value)
Bad debts	Show as expense (other expenses)	Deduct from Trade receivables
Provision for doubtful debts	New provision, minus old provision = charge	Deduct from Trade receivables
Provision for tax	Tax expense (below PBT)	Short-term provision
Interest on debentures	Finance cost	Outstanding: Other current liability

Q1. From a company's books: Sales 6,50,000; Opening stock 50,000; Purchases 4,00,000; Salaries 60,000; Wages 20,000; Rent 15,000 (5,000 outstanding); Insurance 12,000 (2,000 prepaid); Bad debts 5,000; Debtors 1,00,000 (provision for doubtful debts 5%, no old provision); Plant at cost 3,00,000 (depreciate 10%); Closing stock 70,000; Tax rate 30%. Prepare the Statement of Profit & Loss.

Particulars	Working	Rs.
I. Revenue from operations	Sales	6,50,000
II. Expenses: Purchases of stock-in-trade		4,00,000
Changes in inventories	50,000 - 70,000	(20,000)
Employee benefit expense	60,000 + 20,000	80,000
Depreciation	10% of 3,00,000	30,000
Other expenses: Rent (15,000+5,000) 20,000 + Insurance (12,000-2,000) 10,000 + Bad debts 5,000 + Provision 5% of 1,00,000 = 5,000		40,000
Total expenses		5,30,000
Profit before tax	6,50,000 - 5,30,000	1,20,000
Tax expense	30% of 1,20,000	(36,000)
Profit after tax		84,000

DON'T MAKE THESE MISTAKES

- Closing stock is shown **only once** in P&L (inside "Changes in inventories") and once as an asset. Never credit it in sales.
- Provision for doubtful debts is calculated on debtors **after** deducting bad debts.
- Tax is charged **after** profit before tax, not as an ordinary expense.
- Check: total assets = total equity & liabilities.

3. Managerial remuneration (Sec 197 & Sec 198)

- **Managerial personnel** = Managing Director (MD), Whole-time Director (WTD), Manager. Other directors get fees/commission.
- Remuneration limits apply to **public companies** (Sec 197). Remuneration is calculated on "**net profit**" as defined in **Sec 198**, not accounting profit.
- **Step 1:** find Sec 198 net profit. **Step 2:** apply the percentage limits.

Format: computation of net profit (Sec 198)

Particulars	Rs.
Profit before tax as per Statement of P&L (income tax not deducted)	xx
Add (charged but not allowed): managerial remuneration charged to P&L (directors, MD, WTD, manager); compensation for loss of office; depreciation charged in excess of Sec 123 / Schedule II rates; loss on sale of fixed assets and other capital losses	xx
Less (credited but not counted): profit on sale of fixed assets / investments (capital profits); profit on revaluation of assets; profit on forfeiture of shares; securities premium; bounties/subsidies from government (if not trading)	(xx)
Net profit under Sec 198	xx

Maximum limits

Recipient	Maximum % of Sec 198 net profit
Overall (all directors + MD + WTD + manager together)	11%
MD / WTD / Manager - if only one	5%
MD / WTD / Manager - if more than one (together)	10%
Other directors (not MD/WTD) - if company has MD/WTD/Manager	1% (together)
Other directors - if no MD/WTD/Manager	3% (together)

Key points

- Limits can be exceeded only with **special resolution of shareholders** (and central government approval where required). If company has **no profit or inadequate profit**, Schedule V governs the maximum remuneration (slabs depend on effective capital: check your textbook).
- Commission on profit after charging that commission:** $\text{Commission} = \frac{\text{Net profit before commission} \times \text{Rate}}{100 + \text{Rate}}$. Example: 10% commission on profit after commission, profit Rs. 5,50,000, so commission = $5,50,000 \times \frac{10}{110} = \text{Rs. } 50,000$.

Q2. Profit before tax Rs. 10,00,000 (after charging MD's remuneration of Rs. 1,50,000; Rs. 40,000 profit on sale of land was credited; depreciation charged Rs. 60,000 while Sec 123 allows Rs. 50,000). Company has one MD and other directors. Find (a) net profit and (b) maximum remuneration.

Particulars	Rs.
Profit before tax	10,00,000
Add: Managerial remuneration charged	1,50,000
Add: Excess depreciation (60,000 - 50,000)	10,000
Less: Profit on sale of land (capital profit)	(40,000)
(a) Net profit under Sec 198	11,20,000
(b) MD: 5% of 11,20,000	56,000
Other directors: 1% of 11,20,000	11,200
Overall ceiling: 11% of 11,20,000	1,23,200

So the charged remuneration of Rs. 1,50,000 exceeds the MD limit (Rs. 56,000) and even the overall 11% ceiling (Rs. 1,23,200); shareholders' special resolution (or Schedule V relief) would be needed.

DON'T MAKE THESE MISTAKES

- Start from profit **before tax**, never after tax.
- Add back the remuneration **before** calculating the %; then compare.
- Capital profits are **removed**, capital losses **added back**.
- Don't apply the 5% and 1% to the accounting profit; use the Sec 198 figure.

4. Disposal of profit (appropriation)

- Appropriation** = deciding how profit after tax is used: reserves, dividend, or carried forward as surplus in the Statement of P&L.
- Dividend** = share of profit paid to shareholders (preference first at the fixed rate, then equity).

- **Dividend can be paid only out of:** (a) current year profit after depreciation, (b) accumulated profits of earlier years, (c) **free reserves** (General Reserve). **Never** out of capital profits (Capital Reserve, Securities Premium, CRR), nor out of unrealised profits.
- **Interim dividend** is declared by the Board during the year; **final dividend** is recommended by the Board and approved by shareholders at the AGM. Dividend must be paid within **30 days** of declaration; otherwise transferred to the Unpaid Dividend Account.
- **Transfer to reserves** (e.g. 10% of profit to General Reserve) is now **optional**, but is common in textbook problems.
- **Bonus shares** can be issued out of free reserves, securities premium or CRR (not from revaluation reserve).

Format of journal entries

1. Transfer to General Reserve			
Statement of P&L (Appropriation) A/c	Dr	xx	
To General Reserve A/c			xx
2. Interim dividend paid			
Interim Dividend A/c	Dr	xx	
To Bank A/c			xx
(at year end: Statement of P&L A/c Dr / To Interim Dividend A/c)			
3. Proposed (final) dividend			
Statement of P&L A/c	Dr	xx	
To Proposed Dividend A/c (provision)			xx
4. Payment after AGM approval			
Proposed Dividend A/c	Dr	xx	
To Dividend Payable (Bank) A/c			xx

Format of Statement of P&L Appropriation

Particulars	Rs.
Profit after tax for the year	xx
Add: Balance brought forward (opening surplus)	xx
Profit available for appropriation	xx
Less: Transfer to General Reserve	(xx)
Less: Interim dividend / Proposed dividend	(xx)
Balance carried forward to Balance Sheet (Surplus)	xx

Q3. Profit after tax Rs. 4,00,000; opening balance in Statement of P&L Rs. 1,00,000. Paid-up equity capital Rs. 20,00,000. Transfer 10% of current profit to General Reserve; propose dividend of 12%. Prepare the appropriation and entries.

Particulars	Working	Rs.
Profit available for appropriation	4,00,000 + 1,00,000	5,00,000
Less: Transfer to General Reserve	10% of 4,00,000	(40,000)
Less: Proposed dividend	12% of 20,00,000	(2,40,000)
Balance carried forward		2,20,000

Statement of P&L A/c	Dr	40,000	
To General Reserve A/c			40,000
Statement of P&L A/c	Dr	2,40,000	
To Proposed Dividend A/c			2,40,000

DON'T MAKE THESE MISTAKES

- Dividend % is on **paid-up** capital (not authorised or called-up) and on face value, not on profit.
- Reserve transfer % applies to the **current year** profit unless stated otherwise.
- Preference dividend is paid **before** equity dividend.
- Capital profits and securities premium can **never** be distributed as dividend.

Other points to remember

- **Unpaid / unclaimed dividend:** if not paid within 30 days of declaration, it is moved to a special **Unpaid Dividend Account**; if still unclaimed for 7 years, it goes to the Investor Education and Protection Fund (IEPF).
- Dividend is paid only in cash to the registered shareholder (by bank/electronic transfer); the company may have to deduct **TDS** on dividend (check the current rate and limit).
- **Interim dividend** can be paid out of the current year's profits earned so far; it is deducted when preparing year-end appropriation.
- Sec 197 limits are written for **public companies**; private companies are generally outside them.

Quick revision checklist

- Format: vertical, Schedule III, Notes to accounts.
- Adjustments: post both sides (P&L and Balance Sheet).
- Managerial remuneration: Sec 198 net profit first; 11% overall, 5%/10% MD, 1%/3% others.
- Dividend: only from revenue profits/free reserves; check paid-up capital.